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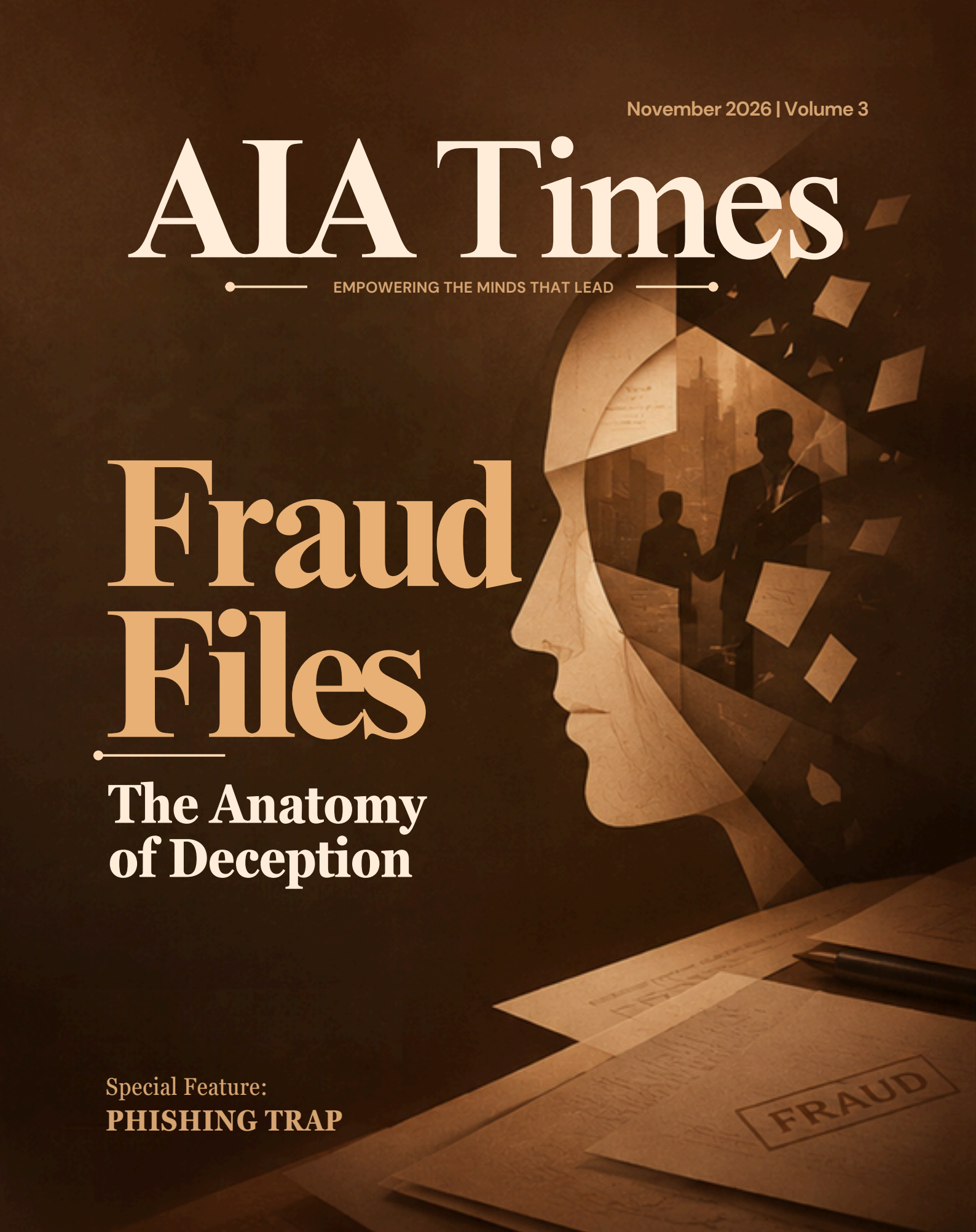
AIA Times

EMPOWERING THE MINDS THAT LEAD



Fraud Files

The Anatomy of Deception

Special Feature:
PHISHING TRAP

04 Editorial Note

05 Message from the CEO

06 Cover Story

11 Success Story

12 Expert Talks

TABLE OF Content

14 From Our Alumni Desk

15 Voices of Our Alumni

16 Voices from the Classroom

17 The Rising Investigators

19 Industry Insight

20 The Psychology of Deception

22 The Fraud Investigator's Toolkit

24 Cyber and Digital Forensics

25 Tip Intake and Triage

26 Phishing - when deception lands in your inbox

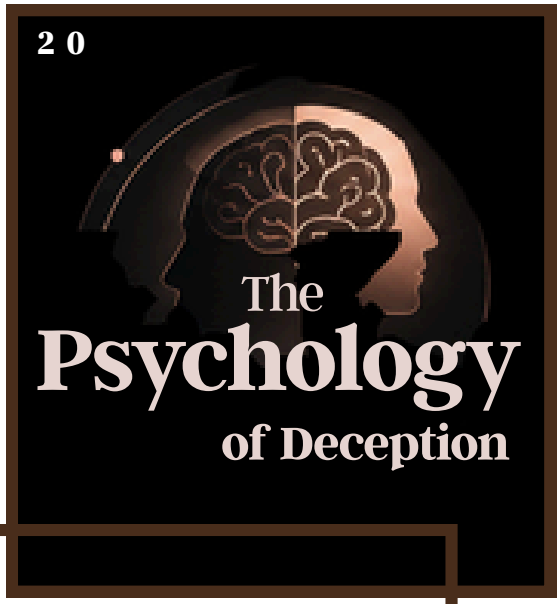


TABLE OF Content

30 Root Cause Analysis and the Defensible Report

32 Trend Radar

33 In-Demand Roles.

34 Case Study

39 Fun Zone

Disclaimer:
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EDITOR'S NOTE

JASMEET KAUR

Editor-in-Charge, AIA Times

Every Fraud Has a File. Why This Issue Opens Fraud Up Stage by Stage

Fraud rarely begins with a single suspicious transaction. It develops through a series of decisions, opportunities, and actions. Understanding fraud requires us to look beyond the final loss and examine the story that led to it.

This edition of **AIA Times, "Fraud Files: The Anatomy of Deception,"** invites readers to examine how fraud develops and how the evidence can help uncover it.

Inside this edition, our expert interview with ***Lalitha Satheesh, Managing Director at Accenture,*** brings an experienced professional's perspective to the challenge of identifying deception that may not be immediately obvious.

Our success story featuring ***Vijay Kumar Gupta*** brings another important perspective to these pages: the professional journey behind the credential. Growth in audit and investigation requires consistency, practical understanding, and a willingness to keep learning.

The articles in this volume examine two dimensions of deception that deserve closer attention. In "The Control Illusion: When Compliance Creates a False Sense of Security," **Praveen Verma, Managing Partner at ServeMax Advisors LLP,** explores why policies, approvals, and checklists may create reassurance without necessarily addressing the risks beneath them.

Yash Garg, CA, CFE, CIA, contributes his insights on "From Trust to Trap: How Fraudsters Fool Ordinary People," turning the focus to people - the influence of trust, authority, urgency, and cognitive bias.

At its core, this edition is built on one belief: controls matter, but people operate them. Fraud finds the gap between the two.

The purpose of this issue is to strengthen professional judgement—the ability to recognise uncertainty, verify evidence, and follow inconsistencies with discipline.

Every fraud leaves a trail. The difference lies in whether we know how to read it.

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MESSAGE FROM THE CEO

A Message from the Mind Behind the Mission

Fraud is never an accident of the system. It is a design the system allowed.

In my years of teaching this subject, I have noticed that fraud develops gradually through overlooked warning signs, weaknesses in controls, and decisions that go unquestioned. By the time the financial impact becomes visible, the real story may have been unfolding for months or even years.

Understanding this is essential for every professional working in audit, risk, compliance, and financial crime prevention. Fraud is not always a failure of controls. Sometimes, it is a failure to recognise what those controls are not revealing.

Professionals need to understand the motive behind an action, recognise the opportunity that made it possible, examine the method used, identify attempts at concealment, and follow the evidence wherever it leads. Connecting these elements turns routine checking into meaningful investigation.

At the ***Academy of Internal Audit***, we believe that professional development must extend beyond examination preparation. It should help professionals build the knowledge, confidence, and practical perspective needed to navigate real-world challenges.

In this edition of **AIA Times**,***"Fraud Files: The Anatomy of Deception,"*** you can explore fraud through different perspectives. As you move forward, consider what each case reveals about the the decisions, controls, and assumptions.

The real value of understanding fraud lies in recognising what can be done differently next time. That is the purpose behind this edition and the commitment that continues to guide us at AIA.

PUNEET GARG

CA, CS, CFE, CIA, CAMS, CISA

Cover Story

The Anatomy of Deception

How Fraud Is Built, Hidden, and Found

The call came from a supplier who had never been paid.

According to the company's ledger, he had been paid in full, eleven times over eighteen months. The money had left the account every time. It just had never reached him.

What follows is an illustrative composite, not a single real case. It is assembled from patterns that investigators meet again and again. Call the person at its centre Rakul, a senior accounts payable manager with eleven years at the company. He was trusted, punctual and the first to volunteer at year-end. By every visible measure, he was exactly the colleague an organisation hopes to have.

His fraud did not begin with the first false payment. It began years earlier, in a place no audit program tests: a private problem.

Stage 1: Motive

No fraud starts with a plan. It starts with pressure, usually private and usually hidden. A debt that grows quietly. A lifestyle that has outrun a salary. Then comes the step that matters most: the person finds a reason why it is acceptable. I'll put it back. They owe me. Nobody is hurt.

Motive cannot be audited, but its traces can be read. The ***ACFE's 2026 study of 2,402 real cases*** found that 84% of fraudsters showed at least one behavioural red flag before they were caught. Living beyond one's means was the most common, seen in almost ***40% of cases***, and it has topped that list in every edition since 2008. Those who showed a flag caused median losses ***33% higher*** than those who did not.

Rakul showed two of them. Nobody was looking.

Stage 2: Opportunity

Motive alone is not enough. For fraud to happen, there must be an opportunity, and sometimes the organisation unknowingly provides it. Rakul's role gave him two important powers. He could change a supplier's bank details, and he could release payments to that same supplier. There was no independent check between the two steps.

Nothing about this arrangement was deliberately hidden. Rakul knew the system, people trusted his judgement, and nobody had questioned whether one person should control both stages.

Case File Note: Motive is explored further in "Inside the Fraudster's Head", pg. 22–23.

This is how a routine process can become a serious vulnerability. A control may exist on paper, but if the same person can change information and move money without independent review, the control may offer little protection.

Stage 3: Method

Then comes the act itself, and it is usually unremarkable. Rakul took a genuine supplier that had been inactive for months. He changed its registered bank account to one he controlled. **Whenever a legitimate invoice arrived,** he routed the payment there.

There were no hacked systems and no forged signatures at the moment of payment. It looked like routine vendor maintenance.

That is what makes many workplace frauds difficult to spot. Investigators may find no dramatic system breach or obviously fabricated invoice. Instead, the warning sign sits in a seemingly ordinary change to supplier information and a transaction that looks reasonable when viewed in isolation.

In this case, the question was whether the bank details were legitimate, who had changed them, and whether that change had been independently verified. Following the money matters, but so does tracing the decisions and changes that allowed it to move.

Stage 4: Concealment

The act is only half a fraud. The other half is the effort to keep it from being seen.

Rakul printed a vendor letter on a letterhead he had copied, requesting the change of bank details, and filed it in the vendor folder. Should anyone ask, the paperwork existed. At every month-end, he made sure he was the one preparing the vendor reconciliation, so the one person who could have spotted the problem was the one person writing the report on it.

This is what concealment looks like in practice. Almost every fraud comes with some form of cover-up, and a forged or altered paper trail remains the favourite, even in a digital age.

Time is the fraudster's real asset. Every month the scheme stays hidden, it grows more comfortable and more costly. The goal is to stay unquestioned long enough.

Stage 5: Detection

Rakul was not caught by an audit. He was caught by a phone call.

This is how most frauds surface. The honest supplier, wondering why a payment never arrived, asked a simple question, and one question was enough to unravel eighteen months of work.

Detection method matters enormously. The ***ACFE found that fraud*** can be uncovered up to four times faster through active detection than through passive means. *Active detection means a deliberate check such as surveillance, monitoring, or reconciliation. Passive detection means being told, stumbling across it, or being notified by the police.*

Data analytics, exception reports, independent reconciliations and accessible reporting channels can all help surface these issues earlier. But the information must reach someone willing and able to act on it.

Control Gap : Ask of any process: can one person initiate, approve, and release? If the answer is yes, you have found an opportunity.

Stage 6: Consequences

The loss is only the first line of the bill.

Few organisations recover everything that was taken. The money is spent, moved, or untraceable, and the legal route is slow and expensive. Many organisations also choose to handle fraud quietly, preferring an internal dismissal to a public case, because they fear the publicity.

Then come the costs that never appear in the stolen amount. Regulators and auditors ask difficult questions. Morale drops. Suppliers start to wonder how well they are being treated. The team that trusted Rakul has to rethink what trust means. And the organisation builds, after the fact, the controls it could have installed before.

What this means for the auditor.

Look back at Rakul's case. The motive was visible in behaviour. The opportunity was visible in a process map. The method was visible in a vendor master change log, the concealment in a document that did not match its own sequence, and the detection in a supplier's complaint that should have been a control.

Every stage left evidence. None of it was hidden. It was just never put together.

Closing Insight

Fraud is built in stages. It is only ever found when someone reads those stages together.

A transaction tells you what happened. The anatomy tells you why it was possible. The auditor's job is to study the second, so the first never gets the chance.

To see these six stages applied to a real, fully documented case, turn to **Case File 01 on page 34.**

Quick Hits:

9×: how much more owner/executive frauds cost than employee frauds ($475,000 vs $50,000 median).

6×: how much more expensive frauds involving three or more people were than solo frauds ($324,000 vs $55,000).

85% vs 24%: organisations of 100+ staff with a reporting hotline, against small businesses with one

293: card, internet and digital payment fraud cases reported by Indian banks in 2025–26, down from 13,332 the year before.

INSIDE THE INVESTIGATOR'S MIND

Expert Insights.
Success stories.
Real experiences.

Beyond the Certificate: How Learning Changed the Way I Work

Vijay Gupta,

A CA, CS, LL.M., FAFD, LL.B., M.Com. by qualification, is an Associate Partner at Metalegal Advocates, with a decade of experience at the intersection of finance, law, and financial crime litigation.

Having worked on forensic matters for several years, I pursued the Certified Fraud Examiner (CFE) qualification to build on my experience through a globally recognised framework. As a Chartered Accountant and Advocate, I had seen how financial irregularities travel from the books of account to forensic investigation and legal proceedings.

The CFE provided a clearer methodology for identifying red flags, assessing the reliability of financial evidence, and presenting findings that can withstand scrutiny.

In one matter, the documents produced appeared complete and consistent. Beyond examining their contents, the CFE approach encouraged me to look closely at the ***provenance of each document:*** who held it, whether it was an original or a copy, how it reached us, and whether it was consistent with independent records such as bank statements. This reinforced the importance of verifying a document's source and authenticity when assessing its evidentiary value.

The interviewing sessions were among the most practical parts of the course. They sharpened my approach to framing questions, listening carefully, and assessing responses without rushing to conclusions. These skills extend beyond investigations to cross-examination and the analysis of opposing submissions, helping identify gaps in an argument and shape an effective response. They also taught me to read between the lines by noticing how something is presented and what remains unexplained.

The international perspective was another significant takeaway. Economic offences can span multiple jurisdictions, making it important to understand cross-border risks and the formal processes involved in obtaining information and records from other countries.

For me, the CFE is a valuable complement to my professional expertise. It has strengthened my ability to connect financial analysis, forensic investigation, and legal reasoning. In simple terms, it has helped me "read the numbers and argue the law."

I am sincerely **thankful to Puneet Garg Sir and the entire AIA team** for their guidance and support. The structured learning environment and practice questions were particularly helpful in keeping me focused and helping me prepare effectively for the examination.

For professionals in this field, the CFE can enrich practical experience and make their approach to investigating financial crime more systematic, evidence-based, and globally informed. Continuous learning does not merely add to our knowledge, it changes how we think, analyse, and work.

Lalitha Satheesh

Lalitha Satheesh, M.COM., CA, CS, CFE, CIA, CISA, CRMA, is a *Managing Director at Accenture with over 25 years* of experience in audit, internal controls, fraud risk, compliance, governance, and risk management.

A proud **AIA achiever,** she shares her insights in this edition of **AIA Times** on why fraud persists despite established controls and how organisations can strengthen fraud risk management and prevention.

Why Fraud Survives Good Controls: The Gaps Organisations Still Miss

1. From your experience, what is the difference between a control that is well-designed on paper and one that actually works in day-to-day operations?

A control can be well designed but poorly executed. It can also be performed consistently yet fail to address the underlying risk because the design itself is inadequate.

Effective controls require three things:

- **Right design:** Does the control adequately address the risk?
- **Reliable execution:** Is it performed consistently as intended?
- **Demonstrable outcomes:** Does it prevent, detect, or correct what it is supposed to?

An organisation may have a well-defined approval process, but if employees bypass it to save time or managers approve things without looking at the details, the control is not really serving its purpose. A control should not just look good in a policy document. It should work consistently, even when there is pressure to meet deadlines or achieve business targets. It is also important to check whether people understand why the control exists, rather than simply treating it as another step in the process.

2. What are some warning signs that an organisation's control environment may be creating a false sense of security?

One warning sign is when people start assuming that everything is fine merely because policies are in place or audit reports look good. These are positive signs, of course, but they do not automatically mean that fraud cannot happen.

I would pay attention to recurring exceptions, the same people controlling too many steps in a process, or audit findings that recur without being properly resolved. Another concern is when employees are reluctant to question a decision because a higher-up has already approved it.

Sometimes, the problem is not that controls are missing, but that people have become too comfortable with the way things are done. Organisations need to keep asking questions and address weaknesses instead of assuming that existing processes are working perfectly. Finally, when the underlying governance is weak , reporting can show all green and the control incidents may never get the attention its needed, therefore awareness on what are the key metrics and transparency on how is it reported is crucial to avoid false sense of security.

3. Many processes rely on employees following procedures correctly. How can organisations reduce their dependence on individual judgement without unnecessarily complicating processes?

The goal is not to eliminate human judgement, but to reduce redundant discretion and make the right action the easiest action.

Organisations can achieve this through clear accountability, role-based access, segregation of duties and risk-based approvals. Technology can strengthen these controls by automatically flagging unusual transactions, supplier changes and recurring exceptions.

The principle is simple: simplify routine decisions, automate predictable controls and reserve human judgement for higher-risk exceptions. Good controls should make processes safer, not slower.

4. Can high policy compliance or a clean audit report sometimes create misplaced confidence? How should organisations interpret these signals?

Yes, absolutely. A clean audit report is encouraging, but it should not be treated as a guarantee that there is no fraud. Every audit has a defined scope, and there may be areas or transactions that were not examined in detail.

Similarly, employees may be following the existing policies correctly, but that does not necessarily mean those policies are addressing every relevant risk. This is why professional scepticism is so important.

Organisations should look at what was tested, whether earlier issues were genuinely resolved and whether new risks have emerged since the last review. It is critical to constantly review the organisation risk management process to ensure new and emerging risk are assessed and impacted in to policies and procedures.

I endorse leaders regularly questioning whether existing controls remain fit for purpose and identify any unusual activity that may require closer scrutiny.

5. When an investigation uncovers fraud, how can organisations distinguish between an isolated act of misconduct and a deeper weakness in the process or control environment?

I would examine fraud through the lens of the Fraud Triangle: Pressure, Opportunity and Rationalisation. While personal motives may explain why someone committed fraud, weaknesses in the control environment often explain how they succeeded.

The investigation must therefore go beyond individual misconduct to assess control design, access rights, approval mechanisms, segregation of duties and historical exceptions.

The critical distinction is whether the individual exploited an isolated lapse or a systemic vulnerability that others could exploit.

Accountability addresses the individual; root-cause analysis and control remediation address the organisation.

My guiding principle is simple: Investigate the person, but fix the opportunity. Otherwise, we may close the case without closing the risk.

Praveen Kumar Verma

CA, CFE, PGBM (Marketing), is Managing Partner at ServeMax Advisors LLP and has over 22 years of professional experience. He shares his perspective and highlights the importance of effective internal controls in identifying and managing organisational risks.

The Control Illusion: When Compliance Creates a False Sense of Security

A signed checklist proves that someone signed it. It does not prove that the risk was managed.

In most fraud investigations I have worked on, the organisation was not short of controls. The fraud happened anyway, often for years, and often through the very process that was "**controlled**".

This is the control illusion: when organisations mistake documented procedures for actual risk protection.

Compliance asks, **"Did we follow the process?"** Risk management asks, **"Would this process prevent or detect the risk?"** Confusing the two can create a false sense of security.

Why Controls Fail

The illusion often develops through everyday practices. A signature or system log may prove that an action occurred, but not that the person involved identified a problem. Similarly, a well-written procedure means little if employees do not follow it properly. Managers reviewing hundreds of invoices may start approving them without meaningful checks, while shared logins, delegated passwords and excessive access can undermine the separation of duties.

Another weakness is relying on limited samples to assess controls. Reviewing a handful of transactions may not reveal repeated irregularities across thousands of records. The common issue is that organisations often check whether controls exist without asking whether they can actually prevent or detect a loss.

How to Break the Illusion

The answer is not simply to add more controls. It is to make existing **controls more effective** by testing them against the risks they are meant to address.

Start by asking how someone could steal, conceal a transaction or manipulate records. ***Then assess whether*** the controls would stop or expose that activity. Do not stop at reviewing policies; re-perform selected checks and see whether a reviewer could identify an error or suspicious transaction.

Data analytics can help uncover patterns that manual reviews may miss. Reviewers should also be accountable for their judgment, not just their signatures. Ask them to document what they checked and what concerns they raised.

Finally, measure whether controls are producing the intended results. Track losses, write-offs, credit notes, unusual voids and complaints. If these increase while controls are reported as effective, investigate whether those controls are working as intended.

The Question That Matters: Fraudsters do not read policy manuals to admire them. They read them to find the gap between what is written and what is done. So ask not "Do we have a control for this?" but "When did this control last stop something?" If nobody can answer, you may only have the illusion of one.

From Trust to Trap: How Fraudsters Fool Ordinary People

Before we get into the theory, here is an interesting case I witnessed with my own eyes.

When **Campa Cola** was relaunched in **March 2023,** my father was interested in becoming a distributor. He got the contact details of the branch manager of **Campa Cola for the Haryana region**, and there were multiple rounds of telephonic discussion. He submitted all the tender documents, and a survey of our shop was conducted based on the details we had provided.

Everything went smoothly. The company would get a reliable distributor, and we would get a big brand's product in our shop.

However, one day, we received a rather peculiar request. We were asked to pay a deposit of ***Rs 2,00,000,*** and it had to be paid urgently. That was the first red flag: pressure.

When I added the account details to my banking application, I noticed that the account holder was a person instead of a company. That was the second red flag.

When I told my father about this, he brushed it off, saying all the details were fine.

Maybe for him, but not for me. Being an investigator myself, I found these two red flags more than enough to convince me that a fraud was being cooked and we were the ingredients.

I took the tender documents and started digging. ***Within 10 minutes,*** I realized that the company which had issued them did not exist on MCA.

My father is not a stupid person. No one is. The thing is, fraudsters are getting smarter day by day.

The story may be old, but the concept remains the same to this day:

1. Authority: Someone presents themselves as a person of authority.
2. Urgency: People tend to bypass standard procedures when they are short on time.
3. Trust: The entire act is designed to gain the victim's trust.
4. Familiarity: Friendly discussions and in-person meetings build familiarity, and this is where people drop their guard.
5. Cognitive bias: Past experiences often blind people to even the clearest red flags. They see only what they want to see.

Yash Garg

is a Chartered Accountant (CA), Certified Fraud Examiner (CFE), and Certified Internal Auditor (CIA) with six years of professional experience. He contributes his expertise on how fraudsters exploit trust, manipulate, and deceive ordinary people in this article.

So how should one protect oneself? I can tell you what I do. I ask myself:

1. What are my assumptions?

2. What if my assumptions are wrong?

3. What are the possible ways someone could commit fraud in this scenario?

4. How could I commit fraud in this scenario?

5. What is my bias, and what have I overlooked?

With these questions, I have protected myself from fraud on multiple occasions.

Voices from the Classroom

Nidhi Singh, CFE

The Federal Bank Ltd.

Senior Manager

Pursuing the **Certified Fraud Examiner (CFE)** certification helped me strengthen my knowledge of fraud prevention, detection and investigation. I wanted to improve my ability to identify red flags and assess risks. My experience with the **Academy of Internal Audit** has been valuable, particularly the comprehensive study material and structured preparation resources.

I am especially grateful to **Puneet Sir** for his guidance and support. This journey has helped me develop a more analytical and risk-focused approach to professional challenges.

Studying the **Certified Internal Auditor (CIA) certification** was a strategic step towards strengthening my knowledge. My experience with the **AIA** helped me connect theoretical concepts with real-world professional challenges.

Balancing preparation with work also improved my time management and commitment to continuous learning. **The certification has strengthened** my critical thinking, helped me analyse situations from different perspectives, and boosted my confidence in making informed decisions and growing professionally.

Karanveer Singh

Genpact ERC

Senior Analyst

Rutuja Ambre, CFE

Axis bank

Internal Audit Manager

Working in internal audit involves assessing risks, questioning assumptions, and identifying gaps that may not be immediately visible. Pursuing the **Certified Fraud Examiner (CFE) certification** helped me strengthen my understanding of fraud risks and investigation techniques.

One key takeaway is that knowing the right procedures is only part of the job; applying professional judgment, analysing evidence, and recognising unusual patterns are equally important in addressing real-world challenges.

In a professional environment, identifying risks requires critical thinking, attention to detail, and the ability to connect information to identify potential red flags. Pursuing the **Certified Fraud Examiner (CFE)** certification was a step towards strengthening my understanding of fraud examination & investigation.

One important learning is that professionals must look beyond procedures and question what the available evidence actually reveals. Sound judgment and analytical thinking are skills that matter as much as technical knowledge.

Shiva Narang, CFE

Working Professional

Mhd. Nufail, CFE

Mohita Mahajan, CFE

Qurat Ul Ain, CFE

Anjan Ajit Dutta, CFE

The Rising Investigators

Celebrating the next generation of fraud examiners shaping a future of integrity, insight, and impact.

Om Chhag, CFE

Rachana Chachad, CFE

Shefali Sharma, CFE

THE ANATOMY LAB

Breaking fraud down to the motive, method, and evidence.

Beyond the Case File: The Industry Brief

How Technology, AI, and Complex Structures are Rewriting the Fraud Playbook.

01 - Loan Books Are the New Fraud Frontier

While headline fraud counts fall, value is concentrating in loan-related cases. Credit files, collateral valuations, and end-use of funds now carry the highest exposure. For auditors, the question shifts from how many frauds occurred to how much one missed red flag in lending can cost.

RBI Annual Report 2025-26: Banks reported 10,114 frauds worth ₹48,021 crore, versus 23,722 cases worth ₹32,803 crore a year earlier. Advances accounted for 84.9% of the total fraud amount.

Source: Angelone, Outlook Business

02 - The Biggest Losses Start at the Top

Fraud by senior leaders is rare but devastating. Authority lets them override controls, steer narratives, and hide losses inside reported numbers. Junior employees steal cash; executives rewrite results.

ACFE 2026 Report to the Nations: Owners and executives caused a median loss of $475,000, over nine times the $50,000 for staff. Financial statement fraud: 6% of cases; median loss of $ 1 million.

Source: PBMares

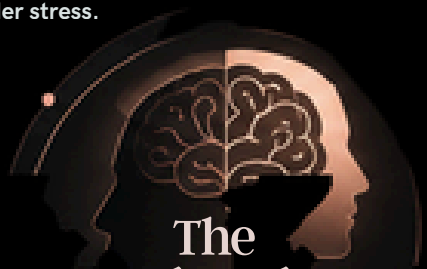
03 - Weak Controls Cause Most Frauds

Fraud usually succeeds because a door was left open. Missing controls, overridden approvals, and skipped reviews give opportunity room to grow. For auditors, control design is the first line of fraud prevention, and testing whether controls operate matters more than documenting that they exist.

ACFE 2026 Report to the Nations: Lack of internal controls (33%), management override (19%), and missing management review (18%) together drove 70% of the 2,402 cases studied across 143 countries.

Source: Porte Brown

The Psychology of Deception



1 The Core Engine
(The Fraud Triangle & Beyond)

The fundamental framework of why fraud occurs.

Pressure (Motivation / Incentive)
- Financial: Debt, addiction, lifestyle changes, living beyond means.
- Non-Financial / Ego: Fear of losing status/job, performance targets, unrealistic quotas, corporate hubris.

Opportunity
- Weak Control: Lack of oversight, segregation of duties, and audit trails.
- Information Asymmetry: The fraudster knows something others don't.
- Position of Power: Abuse of authority, trusted relationships.

Rationalization
The internal mental gymnastics that allow a person to break rules without feeling they are a "bad person."

Extended Model
(The Fraud Diamond)

Capability / Skill
Knowing how to execute and conceal it under stress.

6 Behavioral Signals & Verbal Cues

How psychological stress manifests in daily behavior.

Verbal Patterns
- Over-protecting innocence, excessive swearing.
- Non-answers, stalling for time.
- Emotionally distant language (e.g. "those files" instead of "my accounts").

Non-Verbal & Micro-Behaviors
- Micro-expressions of anxiety, sudden defensive posture, unusual irritability during routine questions.

Incongruence
- Gestures contradict words (e.g. shaking head "no" while agreeing).

5 Red Flags & Environmental Triggers

The observable situational indicators in professional and personal life.

Lifestyle Red Flags
- Sudden increase in spending on luxury items, cars or vehicles (not matching salary).

Workplace & Control Behaviors
- Excessive secrecy, refuses to delegate, won't contact files, avoids news.

Corporate Culture Triggers
- Self, anonymous and protected reporting mentality, harsh punishment for whistleblowers.

2 Psychological & Cognitive Drivers

The subconscious mechanisms and biases that enable deception.

Cognitive Dissonance
- Reconciling two conflicting beliefs ("I am a good person" vs. "I am stealing").

Dark Triad Trails
- **Machiavellianism:** Manipulation & exploitation.
- **Narcissism:** Entitlement, grandiosity.
- **Psychopathy:** Lack of empathy, remorse, or moral restraint.

Self-Deception & Bounded Ethicality
- **Incrementalism** (The Slippery Slope): Minor judges → bigger fraud.
- **Ethical Fading:** Business metrics overshadow moral considerations.

The "Liar's High"
The psychological thrill or dopamine rush of fooling others.

3 The Spectrum of Rationalization

The exact internal excuses people use to justify fraud.

Denial of Victim
- "It's a huge corporation/government; no real person gets hurt."

Denial of Responsibility
- "My boss forced me to do it," or "Everyone else is doing it."

Borrowing Myth
- Sudden increase in spending this money temporarily. (I pay it back before anyone notice:)

Entitlement / Moral Equity
- "I am underpay and overworked, they owe me this."

Higher Loyalty
- "I'm doing this to save the company team/ family not for myself."

4 Detection & Counter Psychology

The psychological defenses and preventative strategies.

Nudging & Behavioral Interventions
- For eg. Ethics declarations before forms, priming moral awareness.

Incentive Restructuring
- Balance financial goals with ethical behavior, compliance and long-term stability.

Whistleblower Psychology
- Safe, anonymous and protected reporting channels to overcome fear and bystander hesitation.

Same human mind. Different outcomes.

THE FRAUD INVESTIGATOR'S TOOLKIT

Tools of the month: techniques, technologies and the thinking behind them.

A good investigator is not the person with the most software. It is the person who knows which question each tool can answer, and which it can't.

This month's toolkit is organised by what the work actually demands: techniques to gather the story, analysis to test it, and technology to preserve and trace the evidence.

TOOLS OF THE MONTH

Advanced Tools for Fraud Detection and Investigation

Transaction Analytics

Analyses large volumes of financial transactions to flag duplicate payments, unusual amounts, suspicious timing, and patterns that may indicate fraud or control weaknesses.

AI-Powered Anomaly Detection

Uses artificial intelligence and machine learning to identify unusual activities that differ from normal behaviour, helping investigators prioritise transactions that need closer examination.

Link Analysis and Network Mapping

Maps connections between employees, vendors, bank accounts, phone numbers, and transactions, helping investigators uncover hidden relationships, collusion, and potentially connected fraud schemes.

Open-Source Intelligence (OSINT) Tools

Collects and analyses publicly available information from websites, company records and online sources to verify identities, investigate business relationships and identify potential red flags.

Digital Forensics Tools

Examines computers, mobile devices and digital storage to recover deleted files, review system activity and preserve electronic evidence for investigation and further analysis.

Email and eDiscovery Analysis

Searches large volumes of emails, messages and documents to identify suspicious communication, hidden connections, unusual instructions and evidence relevant to internal investigations.

Disclaimer: Tools are described for educational purposes only. AIA does not endorse any specific product.

IN-Demand SKILLS

What separates a good auditor from a great one is rarely a software licence.

Employers around the world rank analytical thinking as the top core skill, with close to ***70% calling it essential, and they expect 39% of workers' core skills to change by 2030 (World Economic Forum, Future of Jobs Report 2025).*** For fraud, audit and compliance roles, that means the learning never stops.

FOR EARLY ASPIRANTS ↓

- **Structured Questioning:** Knowing the difference between an open question and a leading one. Practise by turning every "Did you...?" into "Walk me through...".
- **Process Literacy:** Understanding how a purchase becomes a payment and how a hire becomes a salary. Every fraud lives inside a process, and you can't spot the break without knowing the flow.
- **Documentation Discipline:** Dated, factual notes written at the time, not from memory a week later. This habit turns a hunch into usable evidence.
- **Evidence and Legal Awareness:** Knowing what makes evidence usable, why confidentiality matters, and when a concern must go to someone more senior.
- **First-Layer Data Testing:** Using a spreadsheet or basic query language to test for duplicates, gaps, and round numbers. Reading data is the start. Testing it is the skill.

FOR PROFESSIONALS ↓

- **Auditing AI and Automated Controls:** Asking how a model was trained, tested, explained, and monitored, and what happens when it is wrong. The question is no longer only what the algorithm flagged.
- **Payment-Rail and Digital-Asset Literacy:** Knowing how instant payments, wallets, and crypto exchanges move money, and where records exist at each step.
- **Running Confidential Investigations:** Protecting the person who reported, limiting who knows, and keeping evidence clean while the subject is still at work.
- **Escalation and Board Communication:** Presenting a difficult finding to an audit committee and holding the line when someone asks for softer wording.
- **Fraud Risk Assessment and Control Redesign:** Asking "how would someone steal from here?" and turning the answer into a control that works.

Cyber and Digital Forensics

The Digital Fingerprint

What a deleted file still says about the person who deleted it.

A fraudster can delete a spreadsheet in a second. Proving that it was deleted, who deleted it, and when takes a trained professional and a clean process.

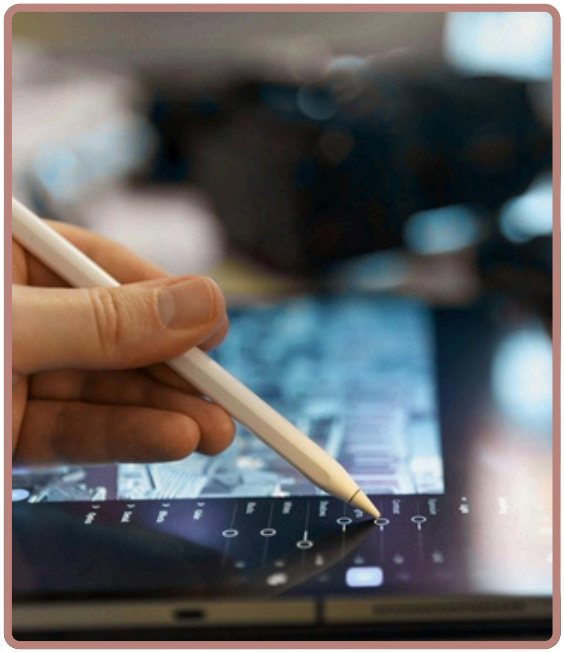
Digital forensics is the discipline of recovering, preserving, and interpreting electronic evidence so that it can stand up to challenge. For an auditor, the first lesson is that ***evidence is fragile***. Opening a file changes its "last accessed" time. Forwarding an email can alter its metadata.

What electronic evidence usually includes

Emails and chat messages, system and access logs, file metadata (creation, edit and access times), approval trails in ERP systems, mobile device data and cloud storage records. Each answers a different question. Logs show who was in the system, metadata shows when a document was really made, and approval trails show who authorised what.

Why this matters now

In the ACFE's 2026 study of 2,402 fraud cases, ***28% of fraudsters created fraudulent electronic documents, 28% altered electronic files, and 17% deleted or withheld them.*** The evidence trail has moved onto devices, and so has the effort to erase it.



The four-step discipline

1. **Identify.** Decide which devices, accounts, and systems may hold relevant data.
2. **Preserve.** Make a forensic image (an exact copy) so the original is never worked on. Suspend auto-deletion and secure access.
3. **Verify.** Record a hash value, a unique digital signature of the data. If even one character changes, the hash changes.
4. **Document.** Keep a log of who handled the evidence, when, and why (the chain of custody).

Do / Don't:

Do: Isolate the device, photograph the screen, note the time, call a forensic specialist.

Don't: Browse files, restart the system, reset passwords, or forward the original email.

"Evidence is not what you find. It is what you can still prove you found."

Tip Intake and Triage

A tip is a thread. How you pull it decides whether anything comes with it.

Most frauds are not found by clever analytics. They are found because someone said something.

The numbers behind the rule

In the ACFE's 2026 study, **43% of frauds were detected by tips**, nearly three times as many as the next method. **55% came from employees, 21% from customers, 14% were anonymous, and 11% came from vendors**. The way people report is changing. **Web-based forms (46%) and email (34%) now outrank telephone hotlines (23%).**

The five-step triage

1. **Receive and log.** Record the date, channel, and exact words. Give the reporter a reference number.
2. **Protect.** Treat the reporter's identity as confidential. Retaliation destroys the next tip.
3. **Assess credibility.** Is it specific? Does it name a process, a date, or an amount? Can any part be checked independently?
4. **Classify.** Is it fraud, an HR complaint, a policy breach, or a misunderstanding? Route it to the right owner.
5. **Decide.** Investigate, monitor, or close, and record the reasoning for each decision.

Predication: the threshold

An investigation should begin only when there is a reasonable basis to believe a fraud has occurred, has occurred, or is about to. Without it, you risk a witch hunt. With too much, you risk delay.

Common Mistakes

- Alerting the subject before evidence is secured.
- Discussing the tip with the subject's manager.
- Closing a vague tip without checking it against transaction data.
- Ignoring anonymous tips due to lack of identity.
- Treating allegations as facts before verification.
- Failing to preserve relevant records and evidence.

> **"A Tip Handled Badly is a Tip You Will not Receive Again."**

PHISHING – WHEN DECEPTION LANDS IN YOUR INBOX

One email. One convincing story. One click that could expose an entire organisation.

An email arrives on a busy morning from your bank, asking you to verify your account, or a supplier shares an updated invoice. Or your manager requests a confidential file before an important meeting.

Everything looks familiar. The sender's name seems right. You have dozens of tasks waiting, so you act without giving it much thought.

But Wait! What if the sender is an impostor?

Welcome to phishing, a form of social engineering in which attackers disguise themselves as trusted people or organisations to trick recipients into revealing sensitive information, clicking malicious links, opening harmful attachments, or authorising fraudulent actions.

The objective may be to steal login credentials, gain access to business systems, obtain financial information, or set the stage for a larger fraud. And the most convincing phishing attempts do not always look suspicious. They look like ordinary work.

We often picture phishing as an email with suspicious links and promises that we have won a lottery. Those messages still exist. But modern phishing can be far more convincing. It can imitate familiar people, fit naturally into ongoing conversations and exploit the way organisations actually work.

How Does a Phishing Attack Actually Work?

Most phishing attacks follow a simple pattern, even when the technology behind them is complicated.

Step 1: Earn your trust.

The attacker creates a believable identity or situation. They may imitate a colleague or sometimes, they use information gathered from public profiles, company websites or earlier communications to make the message feel personal.

Step 2: Give you a reason to act.

The message creates a sense of urgency, curiosity, fear or routine. You might be told that your account will be suspended or a senior leader is waiting for your response. The goal is to make acting feel easier than stopping to verify.

Step 3: Get you to do something.

You might be asked to open a file, enter login details, scan a QR code, reply with information or approve an authentication request. The action may look completely ordinary.

Step 4: Turn that action into an opportunity.

Depending on the attack, the attacker may obtain credentials, access a mailbox, steal a session token, gather sensitive information or influence a business transaction.

Step 5: Use the access or trust gained.

This is where the impact can grow. An attacker with access to one mailbox may impersonate its owner, contact suppliers, search for financial information or send further messages to colleagues.

Let's Burst the Biggest Myth!

Some of the most dangerous assumption about phishing are the ones that sound reasonable. ***"If I clicked the link, my account is already compromised."***

Not necessarily. Clicking a link does not automatically mean an attacker has gained access to your account or device. The result depends on what happened next, what the page contained and whether any security weakness was exploited.

Opening a page and closing it without entering information is different from *submitting a password to a fake login page*. Approving an unexpected sign-in request or downloading and running a malicious file creates different risks again.

Let us dig deeper into this myth.

Suppose an employee clicks a link in an email that appears to come from the ***organisation's IT team***. The page asks them to sign in. They enter their username and password, and the page displays an error.

They close the browser and carry on working.

From the employee's point of view, nothing happened. ***From the attacker's point of view,*** the credentials may already have been captured.

In some attacks, the attacker goes further. A technique known as ***adversary-in-the-middle (AitM)*** phishing allows an attacker to position themselves between a user and a legitimate sign-in service. If the attack succeeds, the attacker may capture not only login details but also a session token.

In simple terms, a session token can act like proof that a user has already signed in. Stealing it may allow an attacker to misuse an authenticated session, even when the organisation uses ***multi-factor authentication (MFA).***

And once an account is compromised, the attack may become harder to recognise. The lesson? Investigating phishing means asking what happened after the message was opened, not stopping at the fact that someone clicked.

Did the user enter credentials? Was an unexpected sign-in approved? Did a new session appear? Were messages sent from the account? Was sensitive information accessed? Did any payment or approval follow?

Modern Ways of Phishing?

For two decades, that action was a link. A phishing mail without a link had nothing to deliver, so it was not worth sending. *Hence* the working rule most of us learned: no link, no phishing; no click, no compromise but what if, there is no link at all?

There are modern ways of Phishing also, here you can asked to scan a ***QR code,*** call a number, share a one-time password or approve a sign-in request. The method may change, but the intention remains the same - **Deception**. Let's look at how this works across different channels.

01. Smishing = SMS + Phishing

You receive a text message: *"Delivery alert: Your parcel is on hold because your address is incomplete. Update your details within two hours to avoid return."*

This is smishing, a form of phishing carried out through SMS or other text messages. Attackers may pretend to be banks, delivery companies, government services or familiar contacts. Their aim could be to steal personal details, capture login credentials or trick you into making a payment.

02. Quishing: QR Code + Phishing

Imagine receiving an email that appears to come from your company's IT team. It asks you to scan a QR code to keep your ***Microsoft 365 account active*** or access an important company document.

The email looks genuine, and the request seems routine. You scan the code, a sign-in page opens, and you enter your work credentials.

This is ***quishing - phishing*** that uses QR codes to direct people to fraudulent websites or other harmful destinations. Unlike a normal link, a QR code does not make its destination easy to see at first glance.

In a workplace, attackers may use QR codes to imitate IT notifications, document-sharing requests or account verification messages. If an employee enters their work credentials on a fake page, the attacker may attempt to access company email, files or other business information.

03. Vishing = Voice Call + Phishing

Your phone rings. *"Hello, I'm calling from your bank's security team. We have detected a suspicious transaction on your account. I need to verify a few details to protect your money."*

The caller sounds professional. They know your name and may even mention a recent transaction. ***Then comes the pressure:*** act immediately, share a one-time password or follow instructions on your phone.

This is vishing, or voice phishing. Attackers use phone calls or voice messages to persuade people to reveal confidential information, transfer money or provide access to accounts and systems.

The Defence System: Stop the Message, Protect the Account, Respond Quickly

Imagine a phishing email reaches an employee's inbox. The email filter misses it. The employee clicks the link and enters their login details. What happens next?

Does the *attacker gain access* without being noticed? Can the organisation detect the unusual sign-in? Can the employee report the incident quickly? And can the security team stop the attack before it spreads?

These questions explain why phishing defence needs more than a single security tool or an annual training session. It needs layers of protection, with each layer reducing the chance that one mistake becomes a serious incident.

Layer 1: Stop Suspicious Messages Before They Reach People

The first line of defence is the organisation's email security system. Its job is to identify suspicious messages, block known threats and make dangerous content harder to access.

Email filters can check links, scan attachments, flag suspicious sender names and examine messages for signs of fraud. *Some systems* can also check links again when a user clicks them, because a website that looked curious when the email arrived may become dangerous later.

Organisations can also use email authentication methods such as **SPF, DKIM and DMARC.** In simple terms, these help receiving systems check whether an email is authorised to use a particular sending domain and whether it shows signs of tampering. When configured properly, they can reduce certain types of sender impersonation.

Layer 2: Make Sure One Click Does Not Open Every Door

Even the best email filters can miss a threat. That makes account security the next important layer.

Organisations should use **Multi-Factor Authentication (MFA)**, which requires an additional step beyond a password when signing in. Where possible, they should consider phishing-resistant options such as passkeys or security keys, which are designed to prevent credentials from being used on fake websites.

Access should be limited to what people need for their roles, so that one compromised account does not automatically provide access to everything.

MFA is valuable, but not all forms offer the same level of protection against every phishing technique. Some attacks can trick users into approving a sign-in or capture an active login session.

The goal is simply to make it harder for a stolen password or compromised account to become a route into the wider organisation.

Layer 3: Make Reporting and Response Easy

Suppose an employee realises they have clicked a suspicious link or shared their credentials. *They should* not have to search through policy documents to find out what to do.

A simple phishing-reporting button, clear instructions and a supportive reporting culture can help employees raise concerns quickly. The security team should be able to investigate the message, remove it from other inboxes where possible, check for suspicious account activity and take steps to contain any compromise.

Importantly, reporting should not depend on a suspicious message containing a link or attachment. An employee who receives a fraudulent payment request or a suspicious message asking them to call a number should still be able to report it.

Speed matters because the earlier an organisation knows about an attempted attack, the sooner it can investigate and limit the damage.

Train People and Strengthen the Systems Around Them

Technology can block many threats, but it cannot make every decision for an employee. Effective training should use situations people may actually face: an unexpected refund message, a **QR code** requesting a login, a call claiming to be from the bank, or an urgent request from the **CEO.**

Training also needs to stay current and regular refreshers and lessons drawn from real incidents can keep the guidance relevant.

Alongside training, IT teams use security tools to watch for suspicious activity across the organisation's network and systems.

Two more points make training work:

- **Reward reporting:** Someone who is scolded for clicking will hide the next click. The hidden click is the one that becomes a breach.
- **Train the IT team too:** Run practice drills where an alert fires and the team must investigate, block and sign users out within minutes.

An **Intrusion Detection System (IDS)** monitors activity and alerts the security team when it identifies signs of a possible attack. An **Intrusion Prevention System (IPS)** can take action to block certain suspicious traffic. Depending on how they are configured, these tools may help detect or stop activity linked to malicious connections, malware or attempts to access systems without permission.

Staff need one habit that works every time: verify through a second channel that you start yourself, using a number or address you already trust.

ROOT CAUSE ANALYSIS AND THE DEFENSIBLE REPORT

Fix the Cause, Not the Symptom. A finding is only as strong as the question behind it.

A weak audit finding says what went wrong. A strong one says why it was allowed to happen. The first gets a reminder email. The second changes a process.

The 5 Whys, in practice

Imagine a payment went to a fake vendor.

- Why was it paid? The invoice was approved.
- Why was it approved? The approver trusted the vendor record.
- Why was the record trusted? Nobody had verified the vendor after onboarding.
- Why not? There was no periodic vendor review.
- Why not? No one owned the vendor master data.

The root cause is no **ownership of vendor data**, not "an invoice was mistakenly approved". Retraining the approver would fix nothing. Assigning ownership would.

What the data says about root causes

The ACFE's 2026 study found that **33% of frauds occurred because controls were absent, 19% because existing controls were overridden, and 18% because management review was missing.** Together, that is **70%.** When missing controls were the primary cause, median losses ran **43% higher** than the overall median.

THE ANATOMY OF A DEFENSIBLE FINDING

How to turn "something looks wrong" into a sentence nobody can argue with.

Imagine you go to a doctor and she says, ***"You seem unwell."*** You would walk out confused and a little annoyed. Now imagine she says, *"Your temperature has been 102°F for three days, your blood test shows an infection, and if we don't treat it, you could get dehydrated."* Suddenly you know what's wrong, why, and what happens next.

Audit findings work the same way. ***"Vendor payments seem poorly controlled"*** is the first kind of sentence. It sounds serious, but it gives management nothing to fix, and it gives a lawyer plenty to dispute.

Weak	Vendor payments seem poorly controlled.
Defensible	Of 40 vendor bank-detail changes tested, 14 (35%) lacked a second approver, against a policy requiring dual approval. No one is assigned to review the vendor master file. This allowed unverified changes to redirect payments.

A defensible finding is the second kind. It is built from four parts, and once you know them, you can build one for almost any problem.

The Four Building Blocks

1. Criteria: what should have happened.
This can be a policy, a rule, a law, or a standard. Without it, you are only giving an opinion.

2. Condition: what actually happened.
Facts only, and numbers wherever you can. You tested 40 bank-detail changes, and 14 of them (35%) had no second approver. The two words to avoid here are ***"seems" and "appears".*** If you tested it, say what you found.

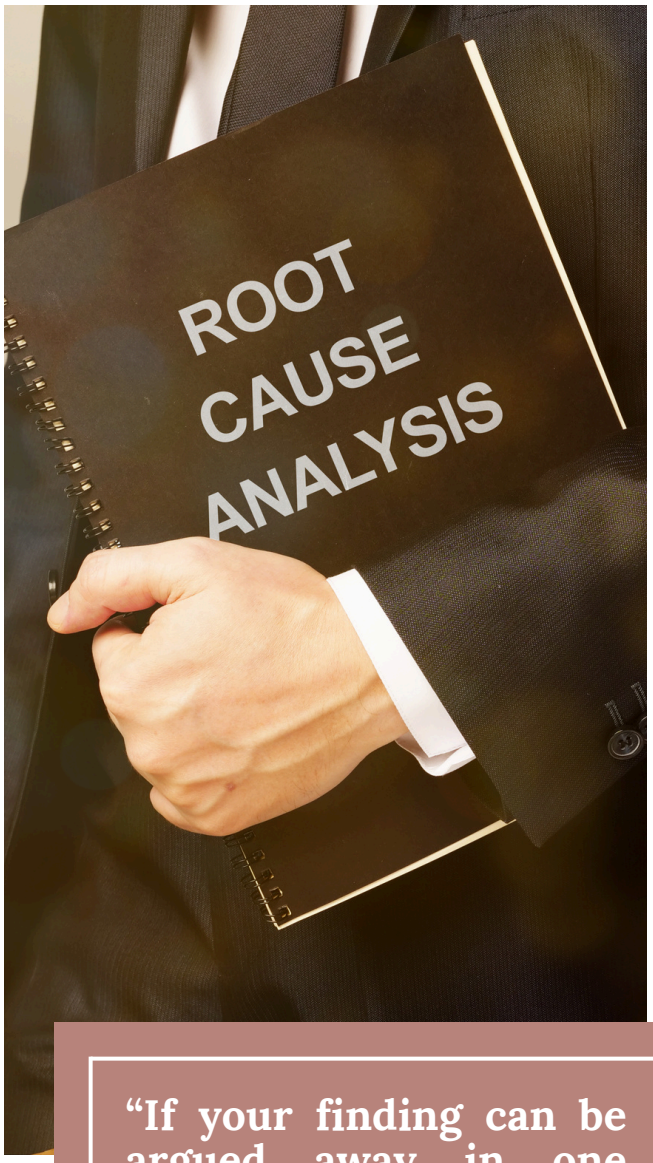
3. Cause: why it happened.
This is the most valuable part. Don't stop at ***"people didn't follow the rule."*** Keep asking why until you reach something you can fix.

4. Consequence: why anyone should care.
What did this cause, or what could it cause? Here, unverified changes could redirect payments to the wrong account. This is the part that gets a busy manager to act.

Read the second one again. It has a yardstick, a fact, a reason, and a risk. Nothing in it needs to be defended, because everything in it can be shown.

Three rules for the report

- **Rule 1: Report what you saw, not what you suspect.** Separate **fact from opinion.** Never state a conclusion about a person's intent. Leave intent to the investigators and the courts. Your job is to describe what the evidence shows.
- **Rule 2: Every statement should be traceable.** Before you write a line, share the proof - it could be a document, a log, a screenshot, or a witness.
- **Rule 3: Write for a hostile reader.** Picture a lawyer reading your report and asking, *"How do you know?"* after every line. If a sentence couldn't survive that, rewrite it until it can.



> **"If your finding can be argued away in one sentence, it was just an opinion."**

A quick test before you submit

Read your finding and ask four questions.

- Could a stranger tell what should have happened?
- Could they see exactly what happened?
- Do they know why?
- Do they understand why it matters?

WHAT THE TRENDS TELL US:

A Closer Look at Job Demand, Emerging Skills and Workforce Trends.

65% - Cybersecurity Hiring Gaps

ISACA's 2025 global survey found that 65% of cybersecurity teams had unfilled positions, while 70% of respondents expected demand for technical cybersecurity professionals to rise over the following year.

Source: ISACA - State of Cybersecurity 2025

225% - Search Interest Growth

Cybersecurity roles are attracting attention in India. Recent Indeed data reported a 225% rise in clicks on SOC Analyst job postings from Indian jobseekers over the preceding year. This reflects candidate interest, not a 225% increase in jobs available.

Source: Express Computer - Indeed data on cybersecurity job interest in India

61% - Key skill

Adaptability tops future audit skills. In the IIA's Vision 2035 survey, 61% of North American chief audit executives and directors identified adaptability and learning agility among the three most critical skills for internal auditors over the next decade..

Source: The IIA - 2025 Pulse Report

38% - Faster Fraud Detection

Organizations employing CFEs reportedly uncover fraud 38% sooner than organizations without CFEs, demonstrating the value of specialized fraud investigation expertise.

Source: ACFE — CFE Benefits

The New Fraud Landscape –

Roles Taking Shape in Fraud, Audit and Compliance

Fraud is evolving with digital transactions, artificial intelligence and increasingly complex business operations. As organisations respond to these risks, they need professionals who can shape the industry.

Explore recent job openings available to CFE, CIA, CAMS and CISA professionals, along with the skills and experience employers are seeking.

01

Business Audit - AVP

State Street

Bengaluru

10–14 Years

Role Overview: Lead business audit activities, assess risk and internal controls, ensure regulatory compliance, and drive audit improvements across business operations.

https://www.linkedin.com/jobs/view/4474177573/

02

SOX Compliance Mgr.

Bunge

Punjab

07–09 Years

Role Overview: Lead business audit activities, assess risk and internal controls, ensure regulatory compliance, and drive audit improvements across business operations.

https://www.linkedin.com/jobs/view/4479791505/

03

Senior Manager - FCU

Credit Saison India

Hyderabad

07–10 Years

Role Overview: Lead financial crime investigations, fraud risk assessments, and investigative teams to strengthen controls and mitigate organizational risks.

https://www.linkedin.com/jobs/view/4477355611/

04

Investigator

Empower India

Bengaluru

02–04 Years

Role Overview: Responsible for conducting corporate investigations, identifying security risks, and supporting fraud prevention.

https://www.linkedin.com/jobs/view/4476077569/

05

Compliance Manager

AML RightSource

Kolkata

10+ Years

Role Overview: Oversees AML compliance, strengthens financial crime controls, and ensures regulatory adherence across operations.

https://www.linkedin.com/jobs/view/4478789909/

06

Operational Risk Mgr.

Russell Investments

Mumbai

07–10 Years

Role Overview: Manages operational risks, strengthens internal controls, and ensures effective risk mitigation across business operations.

https://www.linkedin.com/jobs/view/4444607253/

Telekom Malaysia

CASE FILE 01:

INSIDE THE $20 MILLION FRAUD ALLEGATIONS

How Alleged Manipulation of Transactions, Supplier Records, Payroll, and Digital Identity Reveals Important Lessons for Auditors.

CASE AT A GLANCE

Organisation: Telekom Malaysia Berhad and its U.S. subsidiary, Telekom Malaysia (USA) Inc. Public announcement: 19 May 2026
Period covered by the allegations: July 2020–February 2026
Amount involved: More than US$20 million allegedly diverted
Central Themes: Corporate fraud, procurement, payroll, fabricated records and AI-assisted impersonation

The Photograph That Didn't Match the Date

In January 2026, according to the U.S. Department of Justice (DOJ), the defendants sought reimbursement for expenses associated with a supposed work trip to *Las Vegas in December 2025*. The DOJ alleges that no such trip had taken place.

When the parent company requested photographs, the defendants allegedly arranged a later trip to Las Vegas and photographed scenes with Christmas trees to make the images appear as though they had been taken in December.

The detail is striking, but the underlying issue is serious: supporting evidence can appear convincing without proving that the activity it represents actually occurred.

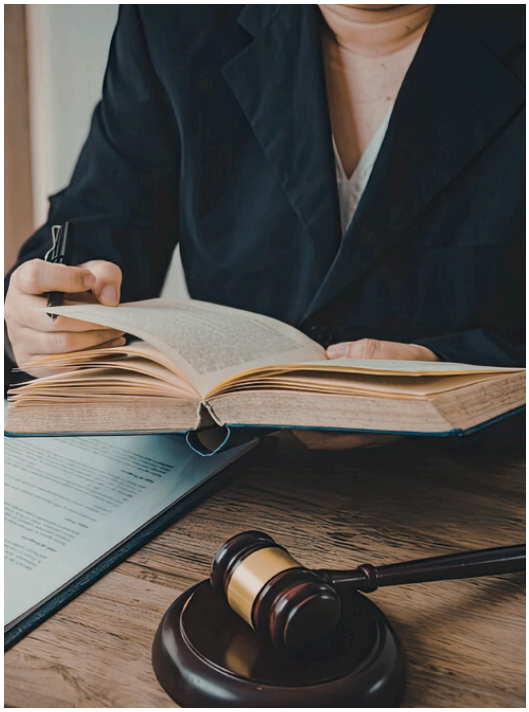
The Setting

A subsidiary sits far from head office. The parent in Malaysia relied on reports, approvals, and paperwork from the US team, and the three managers held senior positions there from July 2020 to February 2026.

At a distance, trust travels by document: a signature, an invoice, an HR record, a photograph. As the DOJ describes it, each alleged scheme aimed at one of those documents.

This is why the case is useful to study. *Many organisations run on the same arrangement:* a head office, a remote unit and a stream of paperwork between them. The question for an auditor is simple. If the paperwork were wrong, which control would notice?

The case is particularly relevant to audit and fraud investigation professionals because the alleged schemes touched several business functions. Rather than relying on one type of transaction, the alleged conduct involved commercial contracts, procurement, human resources and employee expenses.



Four Alleged Schemes, One Investigation

1. Broadband-Capacity Sales: Selling network capacity without the required parent-company authorisation and diverting proceeds.

2. Supplier Impersonation: Misrepresenting equipment costs and directing funds to a company resembling a genuine supplier.

3. Payroll Diversion: Diverting salaries belonging to former employees or interns, including through impersonation.

4. Fabricated Expenses: Seeking reimbursement for a business trip that did not take place and later creating photographs to support the claim.

Each alleged scheme involved a different business process, but the underlying concern was similar: information presented to the organisation did not accurately reflect the activity behind the transaction.

Source: U.S. Department of Justice, 19 May 2026.

HOW THE ALLEGED SCHEMES WORKED

Scheme 1: Unauthorised Broadband-Capacity Sales

Telekom Malaysia (USA) Inc. primarily sells access to broadband infrastructure to technology companies in the **United States.** According to the DOJ, the parent company relied on the subsidiary's management for information about U.S. deals and approved major contracts on that basis.

Prosecutors allege that the defendants arranged sales involving broadband capacity without the parent company's authorisation, used different contract versions to represent the transactions differently and directed proceeds from certain sales through a sham entity.

From an ***audit perspective,*** this allegation highlights the importance of reconciling commercial agreements with actual quantities sold, customer contracts, billing records and revenue received.

The Audit Lesson: Approval should be supported by independent verification of the underlying transaction, including quantities, pricing, contractual terms and the destination of funds.

Scheme 2: Supplier Impersonation and Payment Diversion

The DOJ also alleges that the defendants impersonated a legitimate supplier and diverted a payment intended for that supplier.

In the example described by prosecutors, the subsidiary purchased cable for approximately **US$500,000,** but the parent company was allegedly told that the purchase had cost approximately **US$2.9 million**. The DOJ alleges that approximately **US$2.9** million was diverted to a bank account belonging to a sham entity with a name resembling that of the genuine supplier.

The important investigative issue is the gap between what the company was told, what it actually purchased, and where the money went.

An auditor examining a similar risk would compare supplier invoices with purchase orders, delivery records, contract prices, and payments. ***Supplier identity*** should be independently verified, particularly when bank details change, or a new entity appears in the payment chain.

The Audit Lesson: A familiar supplier name and complete-looking documentation are not enough. Verify the legal entity, commercial terms, delivery evidence and bank-account ownership independently.

Scheme 3: Salary Diversion and AI-Assisted Impersonation

Payroll controls depend on accurate employee records, authorised changes and reliable communication between HR and finance.

According to the DOJ, the subsidiary's records did not reflect a particular employee's departure in **2020**. Prosecutors allege that the employee's monthly salary continued to be paid into an account controlled by the defendants from ***August 2020 through May 2025.***

When the departure was finally recorded in **2025,** HR in Malaysia requested an exit interview. ***The DOJ*** alleges that another individual impersonated the former employee and that, during a subsequent video call, an AI program was used to make the impersonator's appearance resemble the former employee.

This part of the case brings an emerging risk into focus: identity verification cannot depend entirely on a familiar face appearing on a video call.

AI-assisted impersonation also reinforces the need for layered verification. A video call may provide useful information, but it should not be treated as conclusive proof of identity when the request involves sensitive employee or financial records.

The Audit Lesson: Connect HR records with payroll data, independently verify changes, and use more than one reliable method to confirm identity.

Scheme 4: Fabricated Expense Reimbursements

The fourth allegation concerned reimbursements for work expenses that had not genuinely occurred.

The DOJ states that the defendants sought reimbursement for a supposed work trip to **Las Vegas in December 2025**. When photographs were requested as supporting evidence, prosecutors allege that a later trip was organised to create photographs that appeared consistent with the claimed travel period.

This example illustrates why the presence of supporting documents does not automatically establish that an expense is genuine. Photographs, receipts and claim forms must be considered alongside other evidence.

An auditor reviewing travel expenses might compare the claim with travel authorisations, booking records, payment evidence, meeting schedules and the timing of supporting material. Where inconsistencies arise, the appropriate response is further verification.

The Audit Lesson: Evidence should be corroborated. A document may support a claim, but the wider timeline and independent records must also make sense.

DETECTION, RESPONSE AND PROFESSIONAL LESSONS

What Auditors and Investigators Can Learn

1. Connect Information Across Departments: Procurement, finance, HR and operations may each hold only part of the relevant information. Comparing records across functions can reveal inconsistencies that individual reviews may miss.

2. Verify Changes Independently: Changes to supplier bank details, employee status, contract quantities and payment instructions should be checked through authorised, independent channels.

3. Examine the Full Transaction Trail: Investigators should establish who initiated a transaction, who approved it, what supporting evidence existed, and where the money ultimately went.

4. Test the Evidence, Not Just its Presence: A signed document, photograph or completed form does not automatically prove that the underlying activity occurred. Dates, sources, and supporting records should be consistent.

5. Strengthen Identity Verification: As impersonation techniques evolve, organisations should use layered identity checks for sensitive HR and financial processes rather than relying solely on video calls or familiar contact details.

6. Encourage Reporting and Follow-Through: Employees should know how to raise concerns, and reports should be assessed promptly and objectively. An investigation should also examine whether weaknesses elsewhere could create similar risks.

The Bigger Lesson

This case illustrates how alleged fraud can exploit the spaces between business processes. The risk becomes clearer when records are checked against independent evidence and against one another.

For auditors, the objective is not to assume wrongdoing whenever an inconsistency appears. It is to ask the right questions, verify the facts, preserve relevant evidence, and escalate concerns through appropriate procedures.

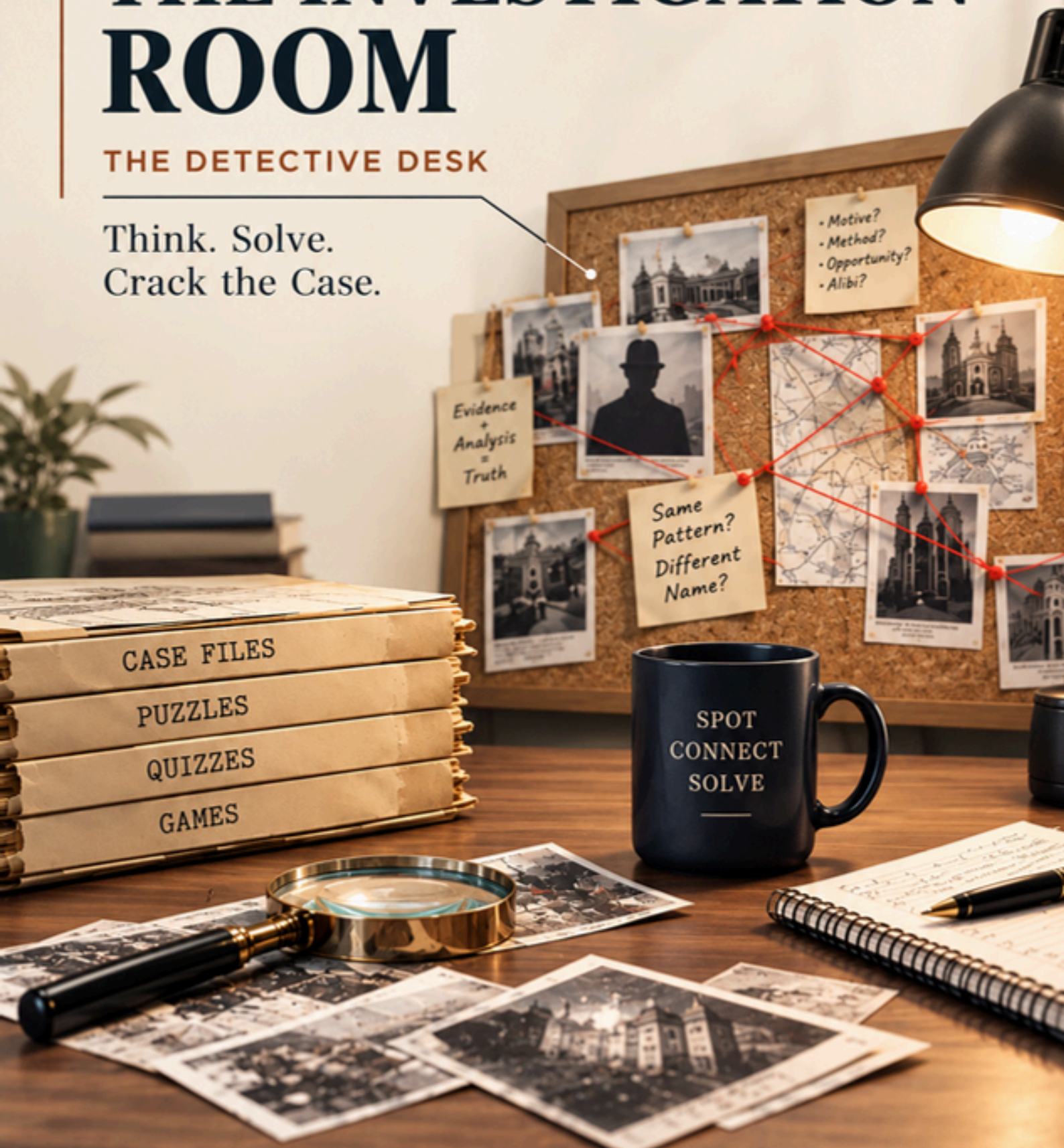
Closing Insight: Effective fraud prevention depends on more than having controls in place. It requires controls that are independently verified, information that is connected across functions, and professionals who are willing to investigate when the evidence does not add up.

Disclaimer: This case study is presented solely for educational purposes to identify governance failures, audit gaps, and financial risk lessons drawn from documented fraud patterns. All details are sourced from the U.S. Attorney's Office, Southern District of New York, press release.

THE INVESTIGATION ROOM

THE DETECTIVE DESK

Think. Solve.
Crack the Case.



THE INVESTIGATION ROOM - CRACK THE CASE

Game 1: Who's Behind the Fraud?

The case: A company discovers that a supplier has received three payments for the same invoice. Four people had access to the payment process.

Your Suspects

A. Riya - Created the purchase order and confirmed the goods were received.

B. Karan - Approved the invoice despite a mismatch in the supporting documents.

C. Meera - Processed the payment after receiving approval.

D. Arjun - Reconciled the bank statement and flagged the duplicate payments.

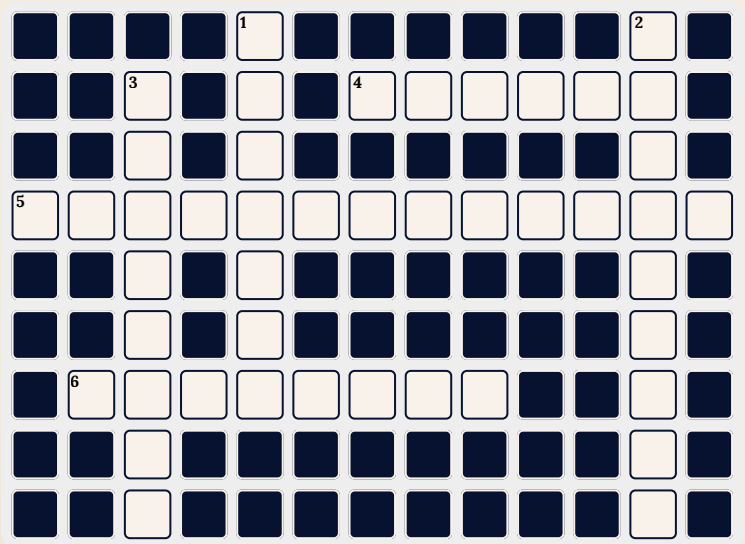
Evidence Found: The invoice number was altered slightly in the payment system. The approval record shows Karan approved all three payments, even though the supporting documents did not match.

Your Mission: Who is/are the strongest person of interest based on the evidence?

A. Riya B. Karan C. Meera D. Arjun

Game 2: The Fraud Files Crossword

Complete the clues using key terms from fraud investigation.



DOWN ↓

1. The opportunity to commit fraud may arise when this is weak or missing.

2. A deliberate attempt to mislead or hide the truth.

3. Information or material used to support an investigation's findings.

ACROSS →

4. The underlying reason someone may commit fraud.

5. A person who reports suspected wrongdoing, often from within an organisation.

6. The process of examining information to identify patterns or anomalies.

Game 3: Spot the Red Flags

Scenario: You are reviewing a vendor's payment history. Which findings deserve further investigation?

Select all that apply.

1. Three invoices have the same amount and nearly identical invoice numbers.
2. A vendor's bank account was changed shortly before a large payment.
3. An invoice was approved by someone outside the normal approval chain.
4. A payment was made on time and matched all supporting documents.
5. The vendor's registered address matches an employee's address, with no declared relationship.

Game 4: Decode the Evidence

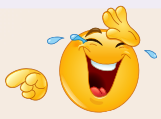
A message recovered from a suspicious email has been encrypted using a simple letter shift. Each letter has been moved one step forward in the alphabet. To decode the message, move each letter one step backward.

ENCRYPTED MESSAGE: FWJEFODF MFET UP USVUI

What does the message say?

Decode: _____

Hint: Each letter has been shifted one place forward in the alphabet. Move every letter one place back to reveal the message.

The Investigator's Laugh 

A lighter break between the case files. These can be laid out as comic strips or speech bubbles.

1. **The Expense Claim**

Employee: I lost the receipt. Can I still claim it?

Auditor: Of course. Can you also explain why your dinner for two was claimed under 'client meeting'?

Employee: The client was... unavailable.

Auditor: And the second dessert?

Employee: Follow-up meeting.

2. **An Auditor's Love Language**

Other people: I trust you.

Auditors: Can you put that in writing and attach the supporting documents?

3. **The Fraudster's Worst Nightmare**

Fraudster: I deleted the file. There's no evidence.

IT Auditor: Interesting. The backup has entered the chat.

4. **The Most Dangerous Sentence in Business**

Manager: "We've always done it this way."

Auditor: "And how long have we been doing it wrong?"

All Answers

Game 1: The Correct Answer is A and B - Riya and Karan.

Explanation: Riya is a person of interest because she created the purchase order and confirmed receipt of goods. Karan approved all three payments despite mismatched supporting documents, raising concerns about approval controls.

Game 2: CONTROL, DECEPTION, EVIDENCE, MOTIVE, WHISTLEBLOWER, ANALYSIS

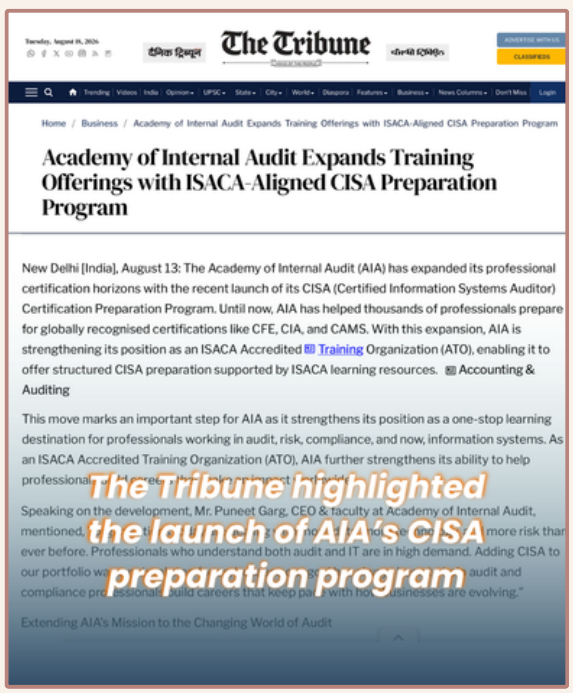
Game 3: The first, second, third and fifth items are red flags that merit verification. The fourth is not an obvious red flag based on the facts given.

Remember: an anomaly is a lead, not proof of misconduct. Investigators should verify the facts and consider legitimate explanations.

Game 4 - Answer: EVIDENCE LEADS TO TRUTH

AIA IN THE NEWS

A look at recent media features of AIA's evolving role in professional certification preparation.



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